



SOUTH KOREA'S CRITICAL MINERALS BALANCING ACT

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The Trump administration is undertaking a historic effort to reorganize global critical minerals supply chains and insulate the United States, as well as its allies and partners, from coercive economic actions by the People's Republic of China (PRC), such as the 2025 export controls on rare earth elements. Initiatives such as the Export-Import Bank of the United States' Project Vault, the U.S. State Department's reorganization and re-energizing of the Minerals Security Partnership into the Forum on Resource Geostrategic Engagement as well as the newly launched Pax Silica Initiative, the U.S. International Development Finance Corporation's expanded mandate,¹ and the U.S. Trade Representative's proposed Agreement on Trade in Critical Minerals (ATCM) highlight the administration's whole-of-government approach to the issue.

The Republic of Korea (ROK) has been a long-standing target of PRC economic coercion and is particularly at risk when it comes to critical minerals. More than 95% of South Korea's consumption of critical minerals is imported. The country imports 71% of anode and cathode active materials necessary for lithium-ion batteries and 56.6% of semiconductor manufacturing processed metals from China.² These minerals are essential in the production of some of South Korea's largest and most competitive exports (e.g., semiconductors, electric batteries, and petrochemicals). The most high profile of the PRC's actions was in retaliation for the United States' 2017 deployment of the Terminal High Altitude Area Defense (THAAD) in South Korea. More recently, China imposed extraterritorial critical minerals export controls in 2025. While the former was a concerted campaign to boycott Korean-made goods and zero-out Chinese tourism, the latter aimed to prevent Korean companies from

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exporting products made of Chinese-processed critical minerals to U.S. defense contractors. Both instances demonstrated South Korea's vulnerability to Chinese economic coercion.

South Korea and the United States would appear to be aligned on critical minerals policy. Yet, despite South Korea in theory being one of the primary beneficiaries of U.S.-led critical minerals initiatives, its approach to cooperation with the United States is bounded by opposing domestic political and corporate interests. Progressive president Lee Jae Myung espouses a willingness to chart a more independent foreign policy, but still ultimately recognizes the United States as South Korea's greatest strategic ally. However, Korean corporations operate quarter-to-quarter and their short-term, profit-maximizing instincts run counter to the long-term, painful experiences necessary to reduce dependence on the PRC for supplies of critical minerals. These competing interests can be categorized into three themes: (1) profits vs. supply chain stability, (2) U.S. alliance management vs. Chinese economic retaliation, and (3) domestic politics vs. foreign policy.

Profits vs. Supply Chain Stability

Paradoxically, the Korean private-sector actors most exposed to critical minerals supply chain instability currently benefit immensely from the status quo. Companies ultimately seek to maximize profits and market share, and a central imperative of doing so is keeping input costs low. Due to the PRC's market manipulation strategy, critical minerals costs are at historic lows, and Korean semiconductor companies are enjoying record profits, with electric battery companies able to decrease prices precipitously over ten years.³ LG Energy Solutions has specifically highlighted the effect of the improved material cost ratio.⁴ These benefits often outweigh the well-recognized and demonstrated risks of overreliance on importing low-cost inputs

from China. The PRC has shown it is more than willing to leverage its critical minerals supply to advance its own foreign policy interests—oftentimes running directly against South Korea's own foreign policy or commercial interests. In short, Korean companies have accepted supply chain instability in exchange for low input costs.

The implication of this disconnect is perhaps most exemplified in how South Korea is cautiously approaching the U.S.-led ATCM. The initiative aims to create a preferential market between trusted trading partners and disconnect its participants from China's distorted critical minerals market—in effect, cutting off access to cheap mineral inputs. Despite Mexico, Japan, and the European Union all agreeing to an action plan that lays out a framework for the ATCM negotiations, South Korea has yet to commit to the plan. Korean companies that rely on imports of critical minerals have made their voices clear, submitting public comments on the ATCM explicitly noting that a mineral price floor, one of the potential outcomes of the agreement, would erode their profitability.⁵

That said, many Korean stakeholders recognize the importance of long-term, strategic decision-making to reduce South Korea's critical minerals vulnerabilities and build secure supply chains, and the Korean government has already attempted to take steps to address these issues. In recent years, the National Assembly passed the Framework Act on Supply Chain Stabilization Support and the Special Act on National Resource Security, while the Ministry of Trade, Industry and Resources overhauled its organizational structure to create the Industry Resources Security Office aimed specifically at rapid response to supply chain issues.⁶ The government has called for reducing South Korea's import reliance for lithium, cobalt, graphite, and others from 80% to 50% by 2030—an ambitious but admirable goal.⁷ These policies, while a step in the right direction, do little to address the

underlying issue of supply chain security and instead establish a framework for coordinating reactions. Several Korean companies have also made efforts to wean themselves off Chinese critical minerals, notably POSCO, which is strategically developing lithium mines and vertically integrating rare earth supply chains around the world, including in the United States.

U.S. Alliance Management vs. Chinese Economic Retaliation

South Korea, as the adage goes, finds itself a “shrimp between whales” as it seeks to align with major U.S. critical minerals initiatives while simultaneously avoiding the ire of Beijing. To President Lee’s credit, he has done so impressively—signing on to, and even leading, some of the United States’ less controversial critical minerals initiatives but also continuing to work with China to ensure an ongoing supply of critical minerals to South Korea.

South Korea has signed on to some of the more palatable components of the United States’ critical minerals policies. It serves as the chair of the Forum on Resource Geostrategic Engagement, which was reorganized and re-energized by the Trump administration as the successor to the Minerals Security Partnership. South Korea is also an inaugural member of Pax Silica, the first multilateral consortia focused on the full artificial intelligence stack’s economic security. However, the country has stayed away from the more combative elements of the U.S. critical minerals strategy, notably the ATCM, which would almost certainly lead to economic retaliation from Beijing. South Korea’s decision to avoid joining the ATCM, in contrast with Mexico, Japan, and the European Union, despite their complicated bilateral relationships with the PRC, highlights the ROK’s deep economic integration with the PRC.

South Korea maintains a similarly arms-length approach to China. The two countries earlier this year established a hotline and joint committee aimed at smoothing Korean companies’ ability to

import Chinese critical minerals, while the ROK Ministry of Foreign Affairs recently “reaffirmed the need to stably manage supply chains for critical minerals” (between South Korea and China) following an April 2026 Joint Economic Commission meeting.⁸ This rhetoric, however, has been at odds with South Korea’s clearly messaged and stated policy priorities to reduce its dependence on importing from a concentrated group of countries (especially China). Ultimately, the United States is South Korea’s only treaty ally, and the two countries are deeply intertwined across security, business, and culture, limiting the extent of ROK-PRC cooperation and alignment.

Domestic Politics vs. Foreign Policy

South Korea’s political leadership is faced with a major impediment: how to manage a legislature driven by an electorate that is increasingly sour on the bilateral relationship with the United States, while pursuing the needed strategic cooperation to secure critical mineral supply chains. Since President Donald Trump’s 2025 inauguration, the Korean public has steadily viewed the United States, and specifically Trump, less favorably.⁹ For the first time in almost ten years, Koreans’ view of a sitting U.S. president is not the most favorable among world leaders, with Trump now trailing Japanese prime minister Sanae Takaichi in popularity. This trend is likely driven by the effects of the president’s trade policy on Korean companies, written and spoken attacks on South Korea’s trade policy and security burden-sharing with the United States, and high-profile incidents involving Korean nationals (particularly the U.S. immigration raid in Georgia on a joint Hyundai Motor-LG plant).

While foreign policy toward the United States rarely captures the attention of an electorate, in South Korea it is a significant factor in evaluating a president’s popularity. In a May 2026 poll conducted by Gallup Korea, 10% cited foreign policy as a reason for their approval of President Lee’s

performance—the second-highest reason behind only economy/livelihood.¹⁰ Koreans clearly care deeply about their chief executive’s direction and ability to conduct foreign policy.

As a result, pushing targeted legislation needed for critical minerals cooperation could be difficult, if not impossible, for the ROK government if it is seen by legislators as leading to Chinese economic retaliation due to South Korea’s perceived alignment with U.S. foreign policy objectives. This dynamic was aggravated by President Trump’s remarks earlier this year specifically targeting the Korean legislature for slow walking the implementation of the bilateral trade deal, as well as by the more recent tit-for-tat letters with the U.S. House of Representatives on digital trade issues.¹¹ This hesitancy in South Korea’s domestic political environment is particularly relevant to the negotiation and potential implementation of the ATCM. Any special tariff law or newly established critical minerals tariff regime would have to be passed by the National Assembly. Given the potential agreement’s clear intention to reduce dependence on China for critical minerals, securing its passage in the legislature could prove difficult, leaving South Korea’s ability to meaningfully participate in question.

Conclusion

While South Korea should naturally align with the United States’ efforts to create an alternative critical minerals supply chain, competing domestic priorities and interests prevent it from wholeheartedly doing so. The need to protect corporate interests, balance relations with its two most important trade partners (the United States and China), and manage its own domestic politics as they intersect with foreign policy means that South Korea is unable to fully commit to some of the United States’ more ambitious, yet impactful, critical minerals policies.

That being said, South Korea clearly recognizes the need for an alternative critical minerals supply chain based on its own experiences with economic coercion and the impacts on both economic competitiveness and national security. South Korea knows it cannot be at the whim of a single country with a domineering monopoly on critical minerals production and refining that can simply choose to stop exports at its convenience. Instead, the ROK must carefully consider its domestic priorities—across politics, the private sector, and civil society—to find a balanced approach that still achieves its economic and national security goals. ∞

Endnotes

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